(ii) *Interest of External Loans:* the net outcome on the front of the interest payments i.e. balance of the inflow (on the money lend out by the economy) and the outflow (on the money borrowed by the economy) of the external interests. In India's case it has been always negative as the economy has been a 'net borrower' from the world economies.

(iii) *Private Remittances:* the net outcome of the money which inflows and outflows on account of the 'private transfers' by the Indian nationals working outside India (to India) and the foreign nationals working in India (to their home countries). On this front India has been always a gainer- till early 1990s from the Gulf region (which fell down afterwards in the wake of the heavy country-bound movements of the Indians working there due to the Gulf War) and afterwards from the USA and the European nations. Basically, during the year **2012**, India is projected (as per the IMF) to be ***the highest*** receiver of this fund to the tune of $58 billion (it was the second highest in 2011 at $55 billion, China was the top gainer with $57 billion).

Ultimately, the balance of all the three components of the 'Income from Abroad' segment may turn out to be positive or negative. In India's case it has been always negative (due to heavy outflows on account of trade deficits and interest payments of the foreign loans). It means, the 'Income from Abroad' is subtracted from India's GDP to calculate its GNP.

The normal formula is *GNP = GDP + Income from Abroad.* But it becomes GNP = GDP + (– Income from Abroad) = GDP – Income from Abroad, in the case of India. This means that India's GNP is always lower than its GDP.

The **different uses** of the concept GNP are as given below:

(a) This is the 'national income' according to which the IMF ranks the nations of the world in terms of the volumes – at the Purchasing Power Parity (at PPP). For detailed discussion on the PPP readers may *search for it alphabetically* in the *Chapter- 24.* India is ranked as the ***4th largest economy*** of the world (after the USA, Japan and China)- while as per the nominal/ prevailing exchange rate of rupee India is the ***13th largest economy***.